Deferments and Forbearances

Deferment is one option for relief during a period of financial difficulty. If you qualify for a loan deferment, you won't be required to make principal payments on your loan during that period. If you have an unsubsidized Stafford loan, you'll be responsible for making the interest payments yourself during the deferment period, or the interest will be added to your loan balance. If you have a subsidized Stafford loan, the federal government will make the interest payments for you. You can qualify for a deferment under the following circumstances:

- Unemployment
- Enrollment in school
- Graduate fellowship
- Financial hardship
- Rehabilitation program due to disability

If you don't qualify for a deferment, you may qualify for forbearance, a special arrangement with your lender that allows you to reduce or postpone principal payments temporarily. Interest continues to accrue during this period on both subsidized and unsubsidized Stafford loans, and if you don't pay it during the forbearance, it will be added to the balance of your loan. This costs you more in the long run because you'll be paying interest on the interest.

You can automatically receive a forbearance if you participate in a qualifying program such as a medical or dental internship or residency, or AmeriCorps—or if you're serving on active duty as a member of the U.S. armed forces. You may also qualify for debt-burden forbearance if your student loan payments are high compared to your income. Other forbearances are granted at the discretion of the lender based on your individual circumstances.

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